mastercard foundation

FIYMA Program

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FIYMA Program – Component 1: Access to Finance

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In partnership with

EAST AFRICA MARKET DEVELOPMENT ASSOCIATES · MESPT MICRO ENTERPRISES SUPPORT PROGRAMME TRUST · NCBA CLUSA · Women's Empowerment Link

Component 1: Access to Finance

- This component of the FIYMA Program is designed to facilitate access to affordable credit for program participants.
- The FIYMA program participants are defined as: **Financially disadvantaged young women and men (80% being young women, 7.5% persons with disabilities, and 2.5% Refugees)**
- Factors limiting program participants from accessing finance include;
  - Informality in business registration
  - Sub-scale operations
  - Limited Digitization
  - Weak management
  - Lack of collaterals to secure the loans
  - Negative perception by mainstream lenders
- The program is designed as 'Young Woman Centric'. This is to help us understand the persona of the young woman we aim to reach and positively impact.

Access to Finance - FIYMA Loan Capital

The Program sets to deploy a total sum of **USD 17,000,000**

The deployed facility aims at:

- ❖ Providing affordable finance in the form of concessionary wholesale loans to Partner SACCOs,
- ❖ Partner SACCOs to on-lend affordable loans to Program Participants at single digit interest rate p.a reducing balance to targeted program participants, Targeted Value Chains, and within targeted 28 Counties.
- ❖ Providing affordable finance in the form of concessionary loans to eligible market actor within target value chains
- ❖ This core activity of the Program will also directly or indirectly strengthen SACCOs to enhance their lending capacity to the Program Participants and Market Actors (SMEs).
- ❖ This will be through: Provision of Technical Assistance to SACCOs, Wholesale Lending, Capacity Building and funding to Market actors
- ❖ We will also work closely with other consortium partners like EAMDA for referrals on the SMEs and Cooperatives profiled and trained, ready for funding.

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Access to Finance - FIYMA Loan Capital

Other Outreach Strategies aimed at reaching out to SACCOs for possible onboarding into the Program:

- Hold Forums for SACCO Leadership teams especially in target counties without a SACCO on boarded into the program.
- Engage one on one with potential SACCOs operating in target counties for possible onboarding.
- Encourage use of guarantee schemes – MESPT will reach out to partners who can offer this service i,e agree to absorb a portion of the risks incase of default by program participants.
- Encourage uptake of insurance services – SACCOs will be encouraged to sensitize the borrowers on issues of crop insurance, livestock insurance as a mitigating factor against possible losses due to adverse weather changes.
- MESPT will also work closely with statutory institutions mandated to oversee the running of SACCOs for information sharing. This will assist during the SACCO onboarding and funding process. e.g. Department of Cooperatives at County Level, Commissioner of Cooperatives at National Level, SASRA as a regulator.
- Encourage the SACCOs to embrace digitization in its processes as most young people are on technology.

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What it takes for a SACCO to be Eligible

1. Be legally registered and compliant with SASRA or relevant Cooperative regulations	**2.** At least **4 years** of operations	**3**. Minimum loan portfolio of **KES. 10,000,000**	**4.** Good loan quality of a **PAR <=15%**
5. 3 Years of audited reports	**6**. Minimum membership - **500 members**	**7. Registered and licensed** with evidence of up-to-date annual returns	**8**. Have **branch(es) and/or service coverage** within at least one programme target county.
9. AGM/ADM/Special General meeting approving the borrowing required	**10**. Sound financial health, including **positive capital adequacy and liquidity position**.	**11**. Has capacity **to serve young women and men** in agriculture in target value chains and counties	**12**. Have **no unresolved regulatory sanctions or governance issues**.

Wholesale Loan Features For The SACCO

Maximum Loan Amount	Up to Kes 450,000,000 per SACCO
Loan Tenor	3 years – As per the Agreement
Pricing	Interest of 4.5% (This is the proposed interest rates), for on lending at 9% to program participants
Appraisal Fee	No Appraisal fee
Other fees	Legal and other applicable fees (e.g valuation fee, insurance fee) to be borne by the borrower
Collateral / Security	Conventional and non-conventional securities: Land and property, Motor vehicles, Debentures and other business Assets, shares, Directors' Guarantees or cash (FDR) deposits.
Repayment	Flexible repayments based on the cashflows.

What it takes for Market Actors to be Eligible for Financing

1. Be fully registered and legally compliant with all concerned statutory bodies.

2. SME must provide at least 2 **years** Audited Reports, and management Accounts for the current financial year.

3. Must have a Minimum of KES 3M as annual turnovers

4. The borrower must be one who contributes to the financial improvement of Program participants

5. Must provide funding proposal and projections for outreach

6. Resolution to borrow must be attached and fully signed by the Directors

10. The SME must be Sound financially and with good cashflow ratios.

12. Must have no unresolved regulatory sanctions or governance issues.

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Market Actor / SME Loan Features

Maximum Loan Amount	Up to USD 50,000 (Kes 6.5 million) With a proposal to raise this amount to allow cooperatives fit in here especially those that get loans from the saccos
Loan Tenor	Up to 3 years
Pricing	11% (Concessional but closer to market rates- Proposed)
Loan Appraisal fee	No appraisal fee
Other Fees	Legal and other applicable fees (Like valuation fee, insurance fee) to be borne by the borrower
Appraisal consideration	Proven ability to pay the loan based on customer's business, purpose, impact and cashflows
Collateral	Conventional and non-conventional securities: Land and properties, Motor vehicles, Cash Deposits and Business Assets.
Repayment	Repayment to be based on the borrower's cashflows and crop cycles.
Conditions Precedent	Must have gone through the required onboarding, appraisal, approvals as per the lender 's policies and lending guidelines.
	Qualifying Borrowers complete and return an application form that, at minimum, sets out a detailed proposed budget on how the Program Loan will be utilized, outlining key targets, milestones, and deliverables
Covenants	The borrower to provide quarterly and annual business performance reports. Funds must be used only for approved activities.

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